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Investment Review

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Investment Review

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Portfolio Review

Investment Review - Allocation 01/01/2011 through 12/31/2011							
Investment Advisor	Investment Option	Beginning Balance	Breakdown %	Contributions/ Additions	Breakdown %	Ending Balance	Breakdown %
Large U.S. Equity							
	Large Value						
American Century Inv. Mgmt.	American Century Equity Income A Fund [8]	$199,260	17.10%	$2,496	2.30%	$97,920	8.96%
Edge Asset Management, Inc.	Equity Income R2 Fund [A, 10]	$0	0.00%	$0	0.00%	$93,342	8.54%
Westwood / Barrow Hanley	LargeCap Value III R2 Fund [*A, 15, 22, 27]	$88,902	7.63%	$0	0.00%	$0	0.00%
	Large Growth						
Capital Research and Mgmt Co	American Funds Growth Fund of America R3 Fund [35]	$127,355	10.93%	$1,349	1.25%	$122,014	11.17%
Neuberger Berman Mgmt. Inc.	Neuberger Berman Socially Responsive Tr Fund	$0	0.00%	$163	0.15%	$159	0.01%
T. Rowe Price/Brown Advisory	LargeCap Growth I R2 Fund [A, 24, 27, 29]	$0	0.00%	$163	0.15%	$160	0.01%
Small/Mid U.S. Equity							
	Mid Cap Growth						
American Century Inv. Mgmt.	American Century Heritage A Fund [1]	$0	0.00%	$264	0.24%	$49,058	4.49%
Fidelity Management & Research	Fidelity Advisor Stock Selector Mid Cap T Fund [*1, 34]	$52,895	4.54%	$736	0.68%	$0	0.00%
	Small Value						
DFA/Vaughan Nelson/LA Capital	SmallCap Value II R2 Fund [*A, 1, 25, 27]	$20,065	1.72%	$0	0.00%	$0	0.00%
Goldman Sachs Asset Mgt	Goldman Sachs Small Cap Value C Fund [1, 35]	$0	0.00%	$0	0.00%	$19,997	1.83%
	Small Growth						
Emerald Advisers, Inc	SmallCap Growth II R2 Fund [*A, 1, 27, 28]	$22,480	1.93%	$714	0.66%	$0	0.00%
MFS Investment Management	MFS New Discovery R1 Fund [1, 35]	$0	0.00%	$205	0.19%	$20,958	1.92%
	Real Estate						
Principal Real Estate Inv	Real Estate Securities R2 Fund [A, 4]	$29,051	2.49%	$500	0.46%	$32,175	2.95%
International Equity							
	Diversified Emerging Markets						
OppenheimerFunds, Inc.	Oppenheimer Developing Markets C Fund [3]	$0	0.00%	$320	0.30%	$17,227	1.58%
Principal Global Investors	International Emerging Markets R2 Fund [*A, 3, 21]	$19,046	1.63%	$1,095	1.01%	$0	0.00%
	Foreign Large Blend						
Capital Research and Mgmt Co	American Funds EuroPacific Growth R3 Fund [3, 35]	$1,396	0.12%	$837	0.77%	$1,924	0.18%
Principal Global Investors	Diversified International R2 Fund [A, 3]	$5,107	0.44%	$0	0.00%	$4,534	0.42%
Putnam Investment Mgmt Co.	Putnam International Equity A Fund [3]	$74,891	6.43%	$0	0.00%	$63,240	5.79%
	World Stock						
Capital Research and Mgmt Co	American Funds New Perspective R3 Fund [3, 35]	$1,413	0.12%	$756	0.70%	$1,988	0.18%

Portfolio Review

Investment Review - Allocation 01/01/2011 through 12/31/2011							
Investment Advisor	Investment Option	Beginning Balance	Breakdown %	Contributions/ Additions	Breakdown %	Ending Balance	Breakdown %
Balanced/Asset Allocation							
	Retirement Income						
Multiple Sub-Advisors	Principal LifeTime Strategic Income R2 Fund [A, 16, 20, 30, 31, 32]	$329,695	28.30%	$61,794	57.04%	$384,157	35.16%
	Target Date 2026-2030						
Multiple Sub-Advisors	Principal LifeTime 2030 R2 Fund [A, 16, 20, 30, 31, 32]	$30,419	2.61%	$10,016	9.25%	$39,604	3.63%
	Target Date 2036-2040						
Multiple Sub-Advisors	Principal LifeTime 2040 R2 Fund [A, 16, 20, 30, 31, 32]	$44,036	3.78%	$21,574	19.91%	$63,571	5.82%
	Target Date 2050+						
Multiple Sub-Advisors	Principal LifeTime 2050 R2 Fund [A, 16, 20, 30, 31, 32]	$0	0.00%	$4,676	4.32%	$4,754	0.44%
Short-Term Fixed Income							
	GIC						
	Fixed Income Option non 401(a) [14, 19#]	$90,672	7.78%	$0	0.00%	$44,914	4.11%
Fixed Income							
	Intermediate-Term Bond						
Russell Investment Group	Russell Investment Grade Bond E Fund [18, 20, 35]	$28,391	2.44%	$674	0.62%	$30,748	2.81%
TOTAL		$1,165,074	100%	$108,332	100%	$1,092,444	100%

** This investment option is closed to new contributions.*

Contributions/Additions reflect contributions, negative contributions, loan payments, etc. Withdrawal/Deductions reflect distribution requests such as terminations, death, disability, and loans. Participant and Employer level investment transfers are not included in these columns.

Please see important disclosures at the end of this presentation.

Investment Performance

Investment results shown represent historical performance and do not guarantee future results. Investment returns and principal values fluctuate with changes in interest rates and other market conditions so the value, when redeemed may be worth more or less than original costs. Current performance may be lower or higher than the performance data shown.

The gross total investment expense figure does not reflect any waivers or caps on the mutual fund or underlying mutual fund in which a Separate Account invests. Returns displayed are always based on net total investment expense.

For more performance information, including most recent month-end performance, visit www.principal.com, contact your representative of the Principal Financial Group® (The Principal®), or call our Participant Call Center at 1-800-547-7754.

	Average Annual Total Returns through 12/31/2011						Percentile Rankings as of 12/31/2011				
Inv Manager or Sub-Advisor Investment Option	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
Large U.S. Equity											
Large Value											
American Century Inv. Mgmt. American Century Equity Income A Fund [8]	3.31	9.33	1.12	5.44	8.13	03/07/1997	21	82	10	7	1.21
Edge Asset Management, Inc. Equity Income R2 Fund [A, 10]	4.76	13.12	-0.23	5.30	8.26	03/01/2010	17	29	22	9	1.27
Russell 1000 Value Index	*0.39*	*11.55*	*-2.64*	*3.89*	-		-	-	-	-	
Morningstar Category Average - Large Value	*-0.75*	*11.76*	*-2.00*	*3.32*	*Total Funds in Category*		*1258*	*1127*	*996*	*571*	-
Large Blend											
Principal Global Investors LargeCap S&P 500 Index R2 Fund [A, 2, 5]	1.25	13.09	-1.13	1.96	0.33	12/06/2000	29	51	57	72	0.91
Standard & Poor's 500 Index	*2.11*	*14.11*	*-0.25*	*2.92*	-		-	-	-	-	
Morningstar Category Average - Large Blend	*-1.27*	*13.18*	*-0.99*	*2.60*	*Total Funds in Category*		*1786*	*1580*	*1376*	*817*	-

Investment Performance

	Average Annual Total Returns through 12/31/2011						Percentile Rankings as of 12/31/2011				
Inv Manager or Sub-Advisor Investment Option	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
Large Growth											
Capital Research and Mgmt Co American Funds Growth Fund of America R3 Fund [35]	-5.14	12.51	-0.87	3.30	4.20	05/21/2002	75	81	79	25	0.97
Neuberger Berman Mgmt. Inc. Neuberger Berman Socially Responsive Tr Fund	-3.05	15.70	0.31	4.92	5.76	03/03/1997	59	42	56	6	1.08
T. Rowe Price/Brown Advisory LargeCap Growth I R2 Fund [A, 24, 27, 29]	-1.07	21.12	2.42	1.95	-0.27	12/06/2000	40	7	23	57	1.38
Russell 1000 Growth Index	*2.64*	*18.02*	*2.50*	*2.60*	-		-	-	-	-	
Morningstar Category Average - Large Growth	*-2.46*	*15.34*	*0.79*	*2.29*	*Total Funds in Category*		*1683*	*1478*	*1279*	*804*	-
Small/Mid U.S. Equity											
Mid Cap Growth											
American Century Inv. Mgmt. American Century Heritage A Fund [1]	-6.76	18.58	5.42	7.25	6.99	07/11/1997	70	55	11	7	1.26
Russell Midcap Growth Index	*-1.65*	*22.06*	*2.44*	*5.29*	-		-	-	-	-	
Morningstar Category Average - Mid Cap Growth	*-3.96*	*18.63*	*2.01*	*4.42*	*Total Funds in Category*		*751*	*659*	*596*	*411*	-
Small Value											
Goldman Sachs Asset Mgt Goldman Sachs Small Cap Value C Fund [1, 35]	-0.32	16.46	1.32	6.98	6.96	08/15/1997	18	47	29	57	2.21
Russell 2000 Value Index	*-5.50*	*12.36*	*-1.87*	*6.40*	-		-	-	-	-	
Morningstar Category Average - Small Value	*-4.45*	*16.87*	*0.20*	*7.10*	*Total Funds in Category*		*352*	*302*	*264*	*145*	-
Small Growth											
MFS Investment Management MFS New Discovery R1 Fund [1, 35]	-11.10	24.47	3.14	2.38	6.05	04/01/2005	91	8	23	85	2.15
Russell 2000 Growth Index	*-2.91*	*19.00*	*2.09*	*4.48*	-		-	-	-	-	
Morningstar Category Average - Small Growth	*-3.55*	*18.45*	*1.30*	*4.38*	*Total Funds in Category*		*764*	*676*	*573*	*368*	-
Real Estate											
Principal Real Estate Inv Real Estate Securities R2 Fund [A, 4]	8.46	19.67	-1.25	11.07	11.01	12/06/2000	43	76	35	20	1.58
MSCI US REIT Index	*8.69*	*21.55*	*-1.51*	*10.16*	-		-	-	-	-	
Morningstar Category Average - Real Estate	*7.51*	*21.67*	*-2.20*	*9.16*	*Total Funds in Category*		*242*	*212*	*192*	*105*	-

Investment Performance

	Average Annual Total Returns through 12/31/2011						Percentile Rankings as of 12/31/2011				
Inv Manager or Sub-Advisor Investment Option	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
International Equity											
Diversified Emerging Markets											
OppenheimerFunds, Inc. Oppenheimer Developing Markets C Fund [3]	-18.68	22.75	4.88	16.67	13.55	11/18/1996	41	11	5	5	2.01
MSCI - Emerging Markets NDTR D Index	*-18.42*	*20.07*	*2.40*	*13.86*	-		-	-	-	-	
Morningstar Category Average - Diversified Emerging Markets	*-19.86*	*18.32*	*0.40*	*12.83*	*Total Funds in Category*		*458*	*352*	*237*	*144*	-
Foreign Large Blend											
Capital Research and Mgmt Co American Funds EuroPacific Growth R3 Fund [3, 35]	-13.85	9.23	-1.73	6.20	6.16	05/21/2002	49	31	11	11	1.13
Principal Global Investors Diversified International R2 Fund [A, 3]	-11.79	7.88	-5.14	4.68	1.89	12/06/2000	23	50	61	33	1.66
Putnam Investment Mgmt Co. Putnam International Equity A Fund [3]	-15.54	5.22	-6.97	2.20	6.70	02/28/1991	73	80	85	83	1.37
MSCI - EAFE Index NDTR D	*-12.14*	*7.65*	*-4.72*	*4.67*	-		-	-	-	-	
MSCI ACWI Ex USA Index	*-13.71*	*10.70*	*-2.92*	*6.31*	-		-	-	-	-	
Morningstar Category Average - Foreign Large Blend	*-13.97*	*7.79*	*-4.65*	*4.00*	*Total Funds in Category*		*817*	*737*	*563*	*317*	-
World Stock											
Capital Research and Mgmt Co American Funds New Perspective R3 Fund [3, 35]	-7.93	12.35	0.31	5.72	6.19	06/04/2002	50	44	21	30	1.11
MSCI World NDTR D Index	*-5.54*	*11.13*	*-2.37*	*3.62*	-		-	-	-	-	
Morningstar Category Average - World Stock	*-7.93*	*12.35*	*-1.94*	*4.29*	*Total Funds in Category*		*893*	*697*	*490*	*275*	-
Balanced/Asset Allocation											
Retirement Income											
Multiple Sub-Advisors Principal LifeTime Strategic Income R2 Fund [A, 16, 20, 30, 31, 32]	2.76	10.09	0.77	3.68	3.50	03/01/2001	32	61	87	63	1.38
Principal LifeTime Strategic Income Blended Index	*5.97*	*8.87*	*5.00*	*5.41*	-		-	-	-	-	
Morningstar Category Average - Retirement Income	*1.60*	*10.32*	*2.86*	*3.73*	*Total Funds in Category*		*260*	*227*	*83*	*20*	-

Investment Performance

	Average Annual Total Returns through 12/31/2011						Percentile Rankings as of 12/31/2011				
Inv Manager or Sub-Advisor Investment Option	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
Target Date 2000-2010											
Multiple Sub-Advisors Principal LifeTime 2010 R2 Fund [A, 16, 20, 30, 31, 32]	0.41	12.10	0.05	3.78	3.51	03/01/2001	59	27	90	67	1.46
Principal LifeTime 2010 Blended Index	*4.50*	*11.26*	*2.88*	*4.66*	-		-	-	-	-	
Morningstar Category Average - Target Date 2000-2010	*0.91*	*11.09*	*1.64*	*3.85*	*Total Funds in Category*		*167*	*150*	*110*	*16*	-
Target Date 2016-2020											
Multiple Sub-Advisors Principal LifeTime 2020 R2 Fund [A, 16, 20, 30, 31, 32]	-1.83	12.27	-0.55	3.88	3.58	03/01/2001	78	47	73	40	1.50
Principal LifeTime 2020 Blended Index	*0.63*	*11.30*	*1.31*	*4.24*	-		-	-	-	-	
Morningstar Category Average - Target Date 2016-2020	*-0.22*	*12.05*	*0.36*	*3.43*	*Total Funds in Category*		*205*	*186*	*116*	*21*	-
Target Date 2026-2030											
Multiple Sub-Advisors Principal LifeTime 2030 R2 Fund [A, 16, 20, 30, 31, 32]	-2.91	12.49	-1.03	3.64	3.27	03/01/2001	59	55	63	47	1.52
Principal LifeTime 2030 Blended Index	*-0.25*	*11.90*	*0.54*	*3.99*	-		-	-	-	-	
Morningstar Category Average - Target Date 2026-2030	*-2.26*	*12.67*	*-0.79*	*3.52*	*Total Funds in Category*		*205*	*186*	*116*	*16*	-
Target Date 2036-2040											
Multiple Sub-Advisors Principal LifeTime 2040 R2 Fund [A, 16, 20, 30, 31, 32]	-4.05	12.34	-1.56	3.27	3.11	03/01/2001	52	66	60	53	1.53
Principal LifeTime 2040 Blended Index	*-1.22*	*12.19*	*-0.11*	*3.80*	-		-	-	-	-	
Morningstar Category Average - Target Date 2036-2040	*-3.49*	*12.95*	*-1.26*	*3.24*	*Total Funds in Category*		*202*	*183*	*100*	*16*	-

Investment Performance

	Average Annual Total Returns through 12/31/2011						Percentile Rankings as of 12/31/2011				
Inv Manager or Sub-Advisor Investment Option	1 yr.	3 yr.	5 yr.	10 yr.	Since Inception	Inception Date	1 yr.	3 yr.	5 yr.	10 yr.	Total Inv. Expense Gross
Target Date 2050+											
Multiple Sub-Advisors Principal LifeTime 2050 R2 Fund [A, 16, 20, 30, 31, 32]	-4.76	12.24	-1.89	2.99	2.60	03/01/2001	59	69	61	80	1.55
Principal LifeTime 2050 Blended Index	*-2.14*	*12.27*	*-0.51*	*3.72*	-		-	-	-	-	
Morningstar Category Average - Target Date 2050+	*-4.13*	*13.03*	*-1.59*	*3.28*	*Total Funds in Category*		*235*	*156*	*29*	*6*	-
Fixed Income											
Intermediate-Term Bond											
Principal Global Investors Bond & Mortgage Securities R2 Fund [A, 18, 20]	5.98	11.69	3.96	4.06	4.39	12/06/2000	57	17	87	88	1.28
Russell Investment Group Russell Investment Grade Bond E Fund [18, 20, 35]	5.82	9.56	6.21	5.39	5.73	05/14/1999	61	42	40	44	0.80
Barclays Capital Aggregate Bond Index	*7.84*	*6.77*	*6.50*	*5.78*	-		-	-	-	-	
Barclays Capital U.S. Government/Credit 5-10 Year Index	*10.79*	*8.89*	*7.84*	*6.88*	-		-	-	-	-	
Morningstar Category Average - Intermediate-Term Bond	*5.86*	*9.22*	*5.63*	*5.22*	*Total Funds in Category*		*1195*	*1018*	*873*	*582*	-

Please see important disclosures at the end of this presentation.

Style Grid

Large U.S. Equity		
Large Value	**Large Blend**	**Large Growth**
American Century Equity Income A Fund [8] Equity Income R2 Fund [10]	LargeCap S&P 500 Index R2 Fund [2, 5] ++	American Funds Growth Fund of America R3 Fund [35] Neuberger Berman Socially Responsive Tr Fund LargeCap Growth I R2 Fund [24, 27, 29]
Small/Mid U.S. Equity		
Mid Cap Value	**Mid Cap Blend**	**Mid Cap Growth**
		American Century Heritage A Fund [1]
Small Value	**Small Blend**	**Small Growth**
Goldman Sachs Small Cap Value C Fund [1, 35]		MFS New Discovery R1 Fund [1, 35]
Specialty-Real Estate		
Real Estate Securities R2 Fund [4]		

Style Grid

International Equity	Balanced/Asset Allocation	Short-Term Fixed Income
American Funds EuroPacific Growth R3 Fund [3, 35] American Funds New Perspective R3 Fund [3, 35] American Funds Oppenheimer Developing Markets C Fund [3] OppenheimerFunds The Right Way to Invest Diversified International R2 Fund [3] Principal Global Investors Putnam International Equity A Fund [3] Putnam Investments	Principal LifeTime Strategic Income R2 Fund [16, 20, 30, 31, 32] Principal LifeTime 2010 R2 Fund [16, 20, 30, 31, 32] Principal LifeTime 2020 R2 Fund [16, 20, 30, 31, 32] Principal LifeTime 2030 R2 Fund [16, 20, 30, 31, 32] Principal LifeTime 2040 R2 Fund [16, 20, 30, 31, 32] Principal LifeTime 2050 R2 Fund [16, 20, 30, 31, 32] Multiple Sub-Advisors	Fixed Income Option non 401(a) [14, 19] #

Fixed Income
Bond & Mortgage Securities R2 Fund [18, 20] Principal Global Investors Russell Investment Grade Bond E Fund [18, 20, 35] Russell Investments

You are responsible for the selection of specific investment options for your retirement plan. While the investment options above provide a starting point for you to consider, we also offer additional investment options other than those illustrated above.

Please see important disclosures at the end of this presentation.

Sub-Advised Investment Option Scores as of 12/31/2011

Inv Manager or Sub-Advisor Investment Option	Qualitative Investment Advisor(s) Score	Qualitative Investment Advisor(s) Grade	Qualitative Investment Advisor(s) Cautionary Status	Quantitative Investment Option Score	Quantitative Investment Option Grade	Quantitative Investment Option Cautionary Status	Comments
Large U.S. Equity							
Large Value							
Edge Asset Management, Inc. Equity Income R2 Fund [A, 10]	2.24	Favorable		1.33	Favorable		
Large Blend							
Principal Global Investors LargeCap S&P 500 Index R2 Fund [A, 2, 5]	1.00	Favorable		2.00	Favorable		
Large Growth							
T. Rowe Price/Brown Advisory LargeCap Growth I R2 Fund [A, 24, 27, 29]	1.87	Favorable		1.37	Favorable		Brown Advisory was added as a sub-advisor in July 2009.
Small/Mid U.S. Equity							
Real Estate							
Principal Real Estate Inv Real Estate Securities R2 Fund [A, 4]	1.76	Favorable		2.05	Favorable		
International Equity							
Foreign Large Blend							
Principal Global Investors Diversified International R2 Fund [A, 3]	2.00	Favorable		1.90	Favorable		
Fixed Income							
Intermediate-Term Bond							
Principal Global Investors Bond & Mortgage Securities R2 Fund [A, 18, 20]	1.91	Favorable		2.19	Favorable		

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WL denotes applicable Watch List status.

PR denotes Probation status.

Balanced/Asset Allocation investment options will not be scored using our methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation options are displayed here. However, Sub-Advised Balanced/Asset Allocation investment options are still subject to the oversight of our due diligence process.

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Sub-Advised Investment Option Quantitative Scores - Last Four Quarters

Inv Manager or Sub-Advisor Investment Option	12/31/2011 Investment Option Score	12/31/2011 Investment Option Grade	09/30/2011 Investment Option Score	09/30/2011 Investment Option Grade	06/30/2011 Investment Option Score	06/30/2011 Investment Option Grade	03/31/2011 Investment Option Score	03/31/2011 Investment Option Grade
Large U.S. Equity								
Large Value								
Edge Asset Management, Inc. Equity Income R2 Fund [A, 10]	1.33	Favorable	1.30	Favorable	1.37	Favorable	1.57	Favorable
Large Blend								
Principal Global Investors LargeCap S&P 500 Index R2 Fund [A, 2, 5]	2.00	Favorable	2.00	Favorable	2.00	Favorable	2.00	Favorable
Large Growth								
T. Rowe Price/Brown Advisory LargeCap Growth I R2 Fund [A, 24, 27, 29]	1.37	Favorable	1.33	Favorable	1.22	Favorable	1.25	Favorable
Small/Mid U.S. Equity								
Real Estate								
Principal Real Estate Inv Real Estate Securities R2 Fund [A, 4]	2.05	Favorable	1.54	Favorable	1.46	Favorable	1.50	Favorable
International Equity								
Foreign Large Blend								
Principal Global Investors Diversified International R2 Fund [A, 3]	1.90	Favorable	2.22	Favorable	2.85	Neutral	2.57	Neutral
Fixed Income								
Intermediate-Term Bond								
Principal Global Investors Bond & Mortgage Securities R2 Fund [A, 18, 20]	2.19	Favorable	2.43	Favorable	2.55	Neutral	2.46	Favorable

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Balanced/Asset Allocation investment options will not be scored using our methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation options are displayed here. However, Sub-Advised Balanced/Asset Allocation investment options are still subject to the oversight of our due diligence process.

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Sub-Advised Investment Option Scoring Criteria

We analyze investment options both qualitatively and quantitatively.

Qualitative Analysis

We look at an investment manager's investment philosophy and process, and resources. This evaluation helps to ensure an investment manager retains the same organizational and investment characteristics that were the basis for our original selection decision. Analyzing qualitative factors is perhaps the most critical aspect of the monitoring process for our sub-advised investment options because we believe the factors we analyze can help determine the investment manager's ability to add value in the future.

Quantitative Analysis

In contrast, our quantitative analysis focuses on the elements of the investment option that can be measured objectively and compared to certain benchmarks or peer groups, such as historical performance. Quantitative assessments are necessary because they provide valuable insight into the level of historical investment performance of the investment option.

Investment Manager Scoring

Based on our qualitative analysis, we score each investment manager every quarter. Likewise, we provide a quantitative score for each investment option on a quarterly basis. Our methodology scores them on a scale of 1.0-4.0 (with 1.0 being the best). The scores, grades, and explanations are as follows:

Scores	Grades	Explanation
1.00 - 2.50	Favorable	Meeting or exceeding our expectations
2.51 – 3.00	Neutral	Not exceeding expectations but still in good standing
3.01 – 4.00	Less Favorable	Significantly below our expectations

Qualitative Score

Organization, Investment Philosophy and Process, and People

This part of the evaluation focuses on the investment manager's ability to add value in the future given the state of their existing organization, the soundness of their investment philosophy and process, and the depth and quality of their people. For multi-manager investment options, the Qualitative Score is based on a weighted average of scores for all managers. End of quarter market values are used to derive the appropriate advisor weights.

Qualitative Score		
30% Organization	50% Investment Philosophy and Process	20% People

Quantitative Score

Performance[#]

The purpose of analyzing historical performance is to determine whether an investment option has delivered acceptable investment results and the manager(s) that comprise the investment option have demonstrated skill. We score an investment option's gross performance[****] based on their three- and five-year risk-adjusted excess returns relative to a passive index (i.e. information ratio), three- and five-year Morningstar percentile rankings within an appropriate peer group, and three-year consistency of performance relative to a passive index[***]. For example, if ABC Investment Option is a large growth investment option, we'll typically compare it to the Russell 1000 Growth Index for a passive index. We'll then compare it to the Morningstar Large Growth Category for a peer group comparison.

If the investment option's performance tenure is less than three years, the actual performance may be combined with the manager's performance history in managing other mutual funds or portfolios which have substantially similar mandates and were identified by our team of investment analysts in the selection and retention process.

Quantitative Score				
35% Risk-Adjusted Passive Index Performance		50% Peer Performance		15% Consistency
50% Three-year Returns	50% Five-year Returns	50% Three-year Returns	50% Five-year Returns	100% Three-year Returns

Please see important information on the next page.

[***] If an investment option has at least a three-year performance record, but not a five-year performance record, we will weight 50% of the historical performance score based on three-year performance and 50% based on inception-to-date performance. If an investment option does not have at least a three-year performance record, we will weight 100% of the historical performance score based on inception-to-date performance. However, an investment option must at least have 12 months of performance to be scored.

[#] We generally score our sub-advised investment options based on the Institutional class shares of the Principal Funds.

[****] Gross returns are not indicative of the returns for any specific rate level or share class available to the public. Performance and expenses for other share classes or rate levels may differ.

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Cautionary Status

Cautionary Status means that our due diligence process has uncovered a concern with the investment option that requires further monitoring. For quantitative, or performance-related concerns, there are two levels of cautionary status: The Watch List and Probation. For qualitative concerns, only Watch List status is applicable.

The Watch List

Investment options may be placed on the Watch List for quantitative reasons (performance), qualitative reasons (firm or process) or both. Quantitative Watch List Status will be triggered if long-term performance is significantly below our expectations. Performance results of the investment option are used to determine Quantitative Watch List status. Qualitative Watch List status typically arises from a significant event that is a major change in the organization, the investment process, or a compliance issue. Being placed on the Watch List does not necessarily mean that the option is no longer an appropriate investment option. Instead, this status is meant to communicate our increased level of concern about a particular issue or event, which if left unresolved, could endanger the relationship. An investment manager is placed on the Watch List for a length of time that will not exceed 12 months. After 12 months the manager may be removed from the Watch List or terminated. If the investment option is on the Watch List for quantitative or performance concerns and the due diligence process determines removal from the Watch List is appropriate, the investment option may be placed on Probation until such time that the manager's performance improves.

The Watch List - What signs do we look for?	
Qualitative Signals	**Quantitative Signals**
There are a variety of organizational or investment process-related events that may cause us to place an investment manager on our Watch List. The most common issues and events are: • A change in the investment manager's ownership structure • A loss of key investment personnel • A major shift in the investment manager's investment philosophy • Significant changes in key aspects of the investment process (i.e., style drift, risk controls) • Client losses and/or declining assets under management • Compliance and investment guideline violations	Over short time periods, an unskilled manager can outperform a skilled manager simply due to luck. Over longer time periods, though, this short-term randomness diminishes and a more accurate picture of an investment manager's skill emerges. Accordingly, we use longer time periods - three and five years - to evaluate investment performance. For active investment strategies, an investment option is placed on the Watch List if the Investment Option Grade is "Less Favorable" for two of three consecutive quarters. Note: To make sure we provide an accurate picture of a "newly" hired investment manager, they will be given an appropriate time frame (approximately two to three years) before placing the investment option on the Watch List for quantitative reasons. This will help to prevent unnecessary action immediately after hiring a new investment manager, and allow for evaluation over longer periods.

Probation - How does it work?
The cautionary status of Probation may be assigned to an investment option for the following reasons: • An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the manager(s) has made improvements in the short-term that have the potential to be sustainable over the long term. However, long-term performance is still below our expectations and requires addititonal monitoring. • An investment option has been removed from the Quantitative Watch List because the due diligence process has determined that the underperformance that led to Watch List status is explainable in light of the process used by the manager(s) based on the market environment at that time. However, long-term performance is still below our expectations and requires additional monitoring. • A manager(s) is removed from an investment option due to performance reasons but the investment option's long-term performance is still below our expectations and requires additional monitoring. In this situation, the due diligence process recognizes that while removal of the underperforming manager(s) has the potential to improve performance, the long-term performance history still contains the manager(s) that have led to the underperformance. The status of Probation is conferred on an investment option for an indefinite period of time. However, the due diligence process can remove a manager at any time, including while on Probation. Probation status is lifted only after the investment option scores "Favorable" for one quarter based on the quantitative scoring criteria of the due diligence process, which focuses on three- and five-year results.

Please see important disclosures at the end of this presentation.

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Mutual Fund Network Quantitative Scores as of 12/31/2011

Inv Manager or Sub-Advisor Investment Option	Quantitative	
	Score	Grade
Large U.S. Equity		
Large Value		
American Century Inv. Mgmt. American Century Equity Income A Fund [8]	2.16	Favorable
Large Growth		
Capital Research and Mgmt Co American Funds Growth Fund of America R3 Fund [35]	3.60	Less Favorable
Neuberger Berman Mgmt. Inc. Neuberger Berman Socially Responsive Tr Fund	2.84	Neutral
Small/Mid U.S. Equity		
Mid Cap Growth		
American Century Inv. Mgmt. American Century Heritage A Fund [1]	2.23	Favorable
Small Value		
Goldman Sachs Asset Mgt Goldman Sachs Small Cap Value C Fund [1, 35]	1.57	Favorable
Small Growth		
MFS Investment Management MFS New Discovery R1 Fund [1, 35]	1.41	Favorable
International Equity		
Diversified Emerging Markets		
OppenheimerFunds, Inc. Oppenheimer Developing Markets C Fund [3]	1.20	Favorable
Foreign Large Blend		
Capital Research and Mgmt Co American Funds EuroPacific Growth R3 Fund [3, 35]	1.88	Favorable
Putnam Investment Mgmt Co. Putnam International Equity A Fund [3]	3.49	Less Favorable
World Stock		
Capital Research and Mgmt Co American Funds New Perspective R3 Fund [3, 35]	1.60	Favorable

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Mutual Fund Network Quantitative Scores as of 12/31/2011

Inv Manager or Sub-Advisor	Quantitative	
	Score	Grade
Fixed Income		
Intermediate-Term Bond		
Russell Investment Group Russell Investment Grade Bond E Fund [18, 20, 35]	2.30	Favorable

Please see important disclosures at the end of this presentation.

Balanced/Asset Allocation investment options will not be scored using our quantitative methodology. Instead, these investment strategies focus on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation investment options are displayed here.

Effective April 30, 2011, Mutual Fund Network investment options are compared to Morningstar's Category Index. Historical quantitative scores prior to this change have not been restated.

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Mutual Fund Network Scores - Last Four Quarters

Inv Manager or Sub-Advisor Investment Option	12/31/2011		09/30/2011		06/30/2011		03/31/2011	
	Score	Grade	Score	Grade	Score	Grade	Score	Grade
Large U.S. Equity								
Large Value								
American Century Inv. Mgmt. American Century Equity Income A Fund [8]	2.16	Favorable	1.36	Favorable	1.45	Favorable	1.53	Favorable
Large Growth								
Capital Research and Mgmt Co American Funds Growth Fund of America R3 Fund [35]	3.60	Less Favorable	3.48	Less Favorable	3.50	Less Favorable	3.37	Less Favorable
Neuberger Berman Mgmt. Inc. Neuberger Berman Socially Responsive Tr Fund	2.84	Neutral	1.95	Favorable	1.28	Favorable	1.25	Favorable
Small/Mid U.S. Equity								
Mid Cap Growth								
American Century Inv. Mgmt. American Century Heritage A Fund [1]	2.23	Favorable	1.78	Favorable	2.10	Favorable	1.79	Favorable
Small Value								
Goldman Sachs Asset Mgt Goldman Sachs Small Cap Value C Fund [1, 35]	1.57	Favorable	1.69	Favorable	1.62	Favorable	1.80	Favorable
Small Growth								
MFS Investment Management MFS New Discovery R1 Fund [1, 35]	1.41	Favorable	1.15	Favorable	1.05	Favorable	1.05	Favorable
International Equity								
Diversified Emerging Markets								
OppenheimerFunds, Inc. Oppenheimer Developing Markets C Fund [3]	1.20	Favorable	1.22	Favorable	1.12	Favorable	1.22	Favorable
Foreign Large Blend								
Capital Research and Mgmt Co American Funds EuroPacific Growth R3 Fund [3, 35]	1.88	Favorable	1.70	Favorable	1.32	Favorable	1.19	Favorable
Putnam Investment Mgmt Co. Putnam International Equity A Fund [3]	3.49	Less Favorable	3.50	Less Favorable	3.41	Less Favorable	3.19	Less Favorable
World Stock								
Capital Research and Mgmt Co American Funds New Perspective R3 Fund [3, 35]	1.60	Favorable	1.46	Favorable	1.51	Favorable	1.39	Favorable

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Mutual Fund Network Scores - Last Four Quarters

Inv Manager or Sub-Advisor Investment Option	12/31/2011		09/30/2011		06/30/2011		03/31/2011	
	Score	Grade	Score	Grade	Score	Grade	Score	Grade
Fixed Income								
Intermediate-Term Bond								
Russell Investment Group Russell Investment Grade Bond E Fund [18, 20, 35]	2.30	Favorable	2.54	Neutral	2.32	Favorable	1.79	Favorable

Please see important disclosures at the end of this presentation.

Balanced/Asset Allocation investment options will not be scored using our quantitative methodology. Instead, these investment strategies focus on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Therefore, no Balanced/Asset Allocation investment options are displayed here.

Effective April 30, 2011, Mutual Fund Network investment options are compared to Morningstar's Category Index. Historical quantitative scores prior to this change have not been restated.

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Mutual Fund Performance Review

The Mutual Fund Performance Review is a proprietary process that provides a framework for identifying and monitoring Mutual Fund Network investment options within each asset class and investment style. It is just one of the ways we can help you monitor your retirement platform. It is a high-level analytical process to help plan sponsors manage fiduciary responsibilities. The review process is based on the quantitative analysis derived from the due diligence process of Principal Life. It is not intended to be investment advice.

The Mutual Fund Performance Review is based on the elements of a fund that can be measured objectively and compared to certain benchmarks and peer groups, such as historical performance. The purpose of analyzing historic performance is to measure whether the fund has delivered acceptable and consistent performance results over time. Keep in mind that past performance is no guarantee of future results.

Actively managed mutual funds strive to deliver excess return relative to their benchmarks. These mutual funds are also compared against a universe of similarly categorized mutual funds by Morningstar. Performance is measured over longer time horizons to capture both up and down market cycles and provide more accurate representations of fund manager skill. Finally, risk-adjusted performance is measured to gauge a fund's risk-reward profile.

As a retirement plan sponsor, you have a lot of responsibility – from increasing participation to tracking investment performance. We can help ease some of your burden when you select investment options from our Mutual Fund network. While not as rigorous as the due diligence monitoring process for our sub-advised investment options, the Mutual Fund Performance Review will help you:

- Monitor Mutual Funds and identify any adverse changes in their performance results
- Review the performance score of each investment option on a quarterly basis

Mutual Fund Evaluation Criteria:

We make available mutual funds within various asset classes and investment styles. Our goal is to meet the following evaluation criteria.

Based on our quantitative methodology, we score each Mutual Fund Network investment option every quarter. Our methodology scores funds using third party tools such as Zephyr, Morningstar, etc. We use the analytics from these third party tools to compute a score reflected in a scale of 1.0-4.0 (with 1.0 being the best). The scores and explanations are as follows:

Scores	Grades	Explanation
1.00 - 2.50	Favorable	Mutual Fund performance is meeting or exceeding our expectations
2.51 – 3.00	Neutral	Mutual Fund performance is not exceeding expectations but still in good standing
3.01 – 4.00	Less Favorable	Mutual Fund performance is significantly below our expectations

Methodology

The purpose of analyzing historical performance is to determine whether a fund has delivered acceptable investment results. We score a fund's gross performance**** based on three- and five-year risk-adjusted excess returns relative to an index (i.e. information ratio), three- and five-year risk-adjusted peer performance (i.e. information ratio compared to the Morningstar peer group), three- and five-year Morningstar percentile rankings within an appropriate peer group, and three-year consistency of performance relative to an index. If an investment manager has at least a three-year performance record, but not a five-year performance record, we will weight 100% of the historical performance score based on three-year performance. An investment manager must have at least three years of performance to be scored.

For example, if ABC Investment Option is a large growth investment option, we'll typically compare it to the Russell 1000 Growth Index. We'll then compare it to the Morningstar Large Growth Category for a peer group comparison.

Quantitative Score

Quantitative Score				
35% Risk-Adjusted Passive Index Performance		50% Peer Performance		15% Consistency
50% Three-year Returns	50% Five-year Returns	50% Three-year Returns	50% Five-year Returns	100% Three-year Returns

Course of Action

Investment performance is by nature cyclical through time. As such, plan sponsors can use the Mutual Fund Performance Review to help them monitor the funds they make available and make decisions accordingly.

Other Considerations

While the Mutual Fund Review is based on a quantitative process, the plan sponsor is encouraged to conduct additional reviews and evaluations of the investment options under the Mutual Fund Network. You may want to check with your financial professional to determine if any additional factors should be considered.

Principal Life Insurance Company is not a fiduciary in the broader context of operating your retirement plan or in any manner not specifically assumed in writing.

**** Gross returns are not indicative of the returns for any specific rate level or share class available to the public. Performance and expenses for other share classes or rate levels may differ.

Balanced/Asset Allocation investment options will not be scored using our quantitative methodology. Instead, these investment strategies focus on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them.

Disclosures

[A] Sub-advised Investment Options include Principal Funds, Inc. mutual funds. Principal Funds, Inc is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor, and Principal Life are members of the Principal Financial Group, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.

 # Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company. This is not a sub-advised investment option. Guarantees are backed by all the assets in the Principal Life general account.

++ Investment options sub-advised by Principal Global Investors.

A mutual fund's share price and investment return will vary with market conditions, and the principal value of an investment when you sell your shares may be more or less than the original cost.

Percentile rankings are based on total returns in accordance with the appropriate Morningstar peer group.

Returns shown for periods of less than one year are not annualized. All returns displayed here are after Total Investment Expense of the investment option.

Annualized total returns measure net investment income and capital gain or loss from portfolio investments as an annualized average, assuming the reinvestment of dividends, and without adjusting for loads.

Insurance products and plan administrative services are provided by Principal Life Insurance Company. Principal mutual funds are part of the Principal Funds, Inc. series. Principal Funds, Inc. is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor and Principal Life are members of the Principal Financial Group®, Des Moines, IA 50392. Certain investment options may not be available in all states or U.S. commonwealths.

Investors should carefully consider a mutual fund's investment objectives, risks, charges, and expenses prior to investing. A prospectus, or summary prospectus if available, containing this and other information can be obtained by contacting a financial professional, visiting principal.com, or calling 1-800-547-7754. Read the prospectus carefully before investing.

Past performance is not a guarantee of future results.

This report includes investment options that contain information from a variety of sources. A primary source is Morningstar which provides holdings information, operations data, and rankings or statistics proprietary to Morningstar. Morningstar is generally the source of information on mutual funds unaffiliated with the Principal.

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Disclosures

For a Mutual Fund investment option, Total Investment Expense gross equals the sum of (a) the total fund operating expenses plus (b) if the mutual fund invests in other mutual funds, the weighted-average management fee of those other mutual funds, as listed in the most recent prospectus. The actual Total Investment Expense may change if the mutual fund investment option's allocation of assets to other mutual funds changes.

Any operating expenses of a mutual fund or underlying mutual fund that are part of net Total Investment Expense are obtained from the mutual fund's most recent prospectus. The operating expenses shown as part of Total Investment Expense include voluntary expense limits and fee credit. These expense reductions are not reflected in the fund's prospectus.

Stable Value funds are not available for Not For Profit clients.

See the Principal Funds, Inc. prospectus for the full name of each Fund.

1. Small-cap and mid-cap investment options are subject to more fluctuation in value and may have additional risks than other investment options with stocks of larger, more stable companies.

2. Each index based investment option is invested in the stocks or bonds of the index it tracks. Performance of indexes reflects the unmanaged results for the market segment the selected stocks or bonds represent. There is no assurance an index based investment option will match the performance of the index tracked.

3. International and global investment options are subject to additional risk due to fluctuating exchange rates, foreign accounting and financial policies, and other economic and political environments.

4. Real estate investment options are subject to some risks inherent in real estate and Real Estate Investment Trusts, such as risks associated with general and local economic conditions.

5. S&P 500 is a trademark of The McGraw-Hill Companies, Inc., and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.

8. This investment option is closed to new investors.

10. These calculated returns reflect the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. For time periods prior to inception date of the fund, predecessor performance is reflected. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

11. Balanced/Asset Allocation investment options will not be scored using our current methodology. Instead, our review for these investment strategies focuses on the structure and consistency of the underlying asset allocation models and the capital market assumptions used to support them. Today, all of the Balanced/Asset Allocation options available on our investment platform meet our due diligence standards.

Disclosures

14. Principal Fixed Income Option is the Group Annuity Contract - Custodial Guaranteed Fund Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.

16. Equity investment options involve greater risk, including heightened volatility, than fixed-income investment options. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise.

18. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.

19. The Principal Fixed Income Option is an insurance product that provides a guaranteed crediting rate for specified periods of time. As an insurance product, this option does not have a fixed investment management fee or expense ratio; those are concepts unique to investment products. Rather, the product provides a guarantee that is backed by the General Account of Principal Life Insurance Company. The calculation of each guarantee includes some amount of expected costs and expenses. While we target a certain level of expense, there are many factors that can change our actual cost of providing the guarantee. This can include factors such as changes in the interest rate environment. While it is impossible to know the actual expense due to these factors, Principal Life Insurance Company, as a provider of administrative services to the plan, assumes that it will receive 65 basis points (from the expense built into the Principal Fixed Income Option) as part of the overall fee arrangement a plan pays for services from Principal Life. Principal Fixed Income Option is the Custodial Guaranteed Fund Group Annuity Contract available through Principal Life Insurance Company, a member of the Principal Financial Group, Des Moines, Iowa, 50392.

20. Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

24. This investment option maintains a voluntary waiver which is reflected in the value displayed for Total Investment Expense - Net. This waiver may be discontinued at any time.

27. The manager of the Fund, Principal Management Corporation, invests between 10% and 40% of the Fund's assets in common stocks in an attempt to match or exceed the performance of the Fund's benchmark index for performance.

29. Effective July 14, 2009, Brown Advisory was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

30. Asset allocation does not guarantee a profit or protect against a loss. Investing in real estate, small-cap, international, and high-yield investment options involves additional risks. Additionally there is no guarantee this investment option will provide adequate income at or through retirement.

31. The Investment Advisor will display "Multiple Sub-Advisors" for certain target-date, target-risk and specialty investment options where the assets are directed by the Investment Manager to multiple underlying investment options. These underlying investment options may use multiple sub-advisors who are responsible for the day-to-day management responsibilities.

Disclosures

32. This Principal LifeTime Fund indirectly bears its pro rata share of the management fees incurred by the underlying Principal Funds in which this fund invests. Based on the asset allocation of the Principal LifeTime Funds outlined in the prospectus dated March 1, 2011, the weighted average operating expenses of the underlying funds are: Principal LifeTime Strategic Income, 0.59%; Principal LifeTime 2010, 0.67%; Principal LifeTime 2015, 0.69%; Principal LifeTime 2020, 0.71%; Principal LifeTime 2025, 0.72%; Principal LifeTime 2030, 0.73%; Principal LifeTime 2035, 0.74%; Principal LifeTime 2040, 0.74%; Principal LifeTime 2045, 0.75%; Principal LifeTime 2050, 0.76%; Principal LifeTime 2055, 0.75%. While the operating expenses of the underlying mutual funds are not part of the Principal LifeTime Fund's operating expenses they are included in the Total Investment Expense. Performance results shown for the Principal LifeTime Fund reflect the application of these expenses.

35. For Mutual Fund Network investment options, returns for all time periods, except the Since Inception time frame, may include the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. Since Inception returns display the actual return of this share class and do not reflect the adjusted returns of the oldest share class. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

Benchmark Descriptions

Barclays Capital Aggregate Bond Index represents securities that are domestic, taxable, and dollar denominated. The index covers the U. S. investment grade fixed rate bond market, with index components for government and corporate securities, mortgage pass-through securities, and asset-backed securities. These major sectors are subdivided into more specific indices that are calculated and reported on a regular basis.

Barclays Capital U.S. Government/Credit 5-10 Year Index tracks the return of the U.S. Government/Credit with a maturity window of 5-10 years.

MSCI - EAFE Index NDTR D is listed for foreign stock funds (EAFE refers to Europe, Australia, and Far East). Widely accepted as a benchmark for international stock performance, the EAFE Index is an aggregate of 21 individual country indexes.

MSCI - Emerging Markets NDTR D Index measures equity market performance in the global emerging markets. It consists of 26 emerging market countries in Europe, Latin America and the Pacific Basin.

MSCI US REIT Index is a capitalization-weighted benchmark index of most actively traded Real Estate Investment Trusts (REITs), designed to measure real estate performance.

MSCI World NDTR D Index includes all 23 MSCI developed market countries. The "ND" indicates that the index is listed in U.S. dollars, with net dividends reinvested.

Principal LifeTime 2010 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2010 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 30.90% Russell 3000 Index, 10.10% MSCI EAFE Index, and 59.00% Barclays Capital Aggregate Index.

Disclosures

Principal LifeTime 2020 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2020 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 49.00% Russell 3000 Index, 19.85% MSCI EAFE Index, and 31.15% Barclays Capital Aggregate Index.

Principal LifeTime 2030 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2030 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 54.10% Russell 3000 Index, 22.75% MSCI EAFE Index, and 23.15% Barclays Capital Aggregate Index.

Principal LifeTime 2040 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2040 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 58.60% Russell 3000 Index, 25.80% MSCI EAFE Index, and 15.60% Barclays Capital Aggregate Index.

Principal LifeTime 2050 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2050 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2011 are 60.70% Russell 3000 Index, 29.50% MSCI EAFE Index, and 9.80% Barclays Capital Aggregate Index.

Principal LifeTime Strategic Income Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime Strategic Income portfolio. The weightings as of March 31, 2011 are 18.00% Russell 3000 Index, 4.40% MSCI EAFE Index, and 77.60% Barclays Capital Aggregate Index.

Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.

Russell 1000 Value Index is a market-capitalization weighted index of those firms in the Russell 1000 with lower price-to-book ratios and lower forecasted growth values.

Russell 2000 Growth Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having higher price-to-book ratio and higher forecasted growth values.

Russell 2000 Value Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having lower price-to-book ratios and lower forecasted growth values.

Russell Midcap Growth Index is a market-weighted total return index that measures the performance of companies within the Russell Midcap Index having higher price-to-book ratios and higher forecasted growth values.

Standard & Poor's 500 Index is a market capitalization-weighted index of 500 widely held stocks often used as a proxy for the stock market.

Glossary of Terms

7 Day Yield - The 7-Day Simple Yield % more closely reflects the current earnings of this money market investment option than the total return displayed.

Category Average Return - Morningstar takes the average return of the funds that exist in a category for the time period and divide by the number of funds that exist for that time period. For calendar year category average returns Morningstar includes funds that have merged, liquidated, or changed categories when calculating category averages.

Total Investment Expense Gross - The maximum expense ratio that can be applied to an investment option. This includes expenses and management fees, including 12b-1 fees, administrative fees, and all other asset-based costs incurred by the investment option, except brokerage costs.

Morningstar Category - The Morningstar Category identifies investment options based on their actual investment styles as measured by their underlying portfolio holdings (portfolio statistics and compositions over the past three years).

Percentile Rankings - Each investment's total returns are compared to other investments in the same Morningstar category for various time periods. Total returns are ranked on a scale from 1 to 100 where 1 represents the highest-returning 1% of investments and 100 represents the lowest returning investments.

Scorebook - Comments - Provides additional information on sub-advised investment options that may be relevant to the sub-advisor, investment option, or both.

Scorebook - Qualitative Grade - Qualitative rating that is assigned to Sub-Advised investment managers based on organization, investment philosophy and process, and resources. Scale is Favorable, Neutral, and Less Favorable.

Scorebook - Qualitative Score - Numerical qualitative rating that is assigned to Sub-Advised investment managers based on organization, investment philosophy and process, and resources. Scale is 1.0 – 4.0 (with 1.0 being the best).

Scorebook - Qualitative Cautionary Status - If a Sub-Advised investment manager is on the Watch List for qualitative reasons, this will be indicated by WL.

Scorebook - Quantitative Grade - Numerical quantitative rating that is assigned to investment option based on risk-adjusted index performance, peer performance, and consistency. Scale is Favorable, Neutral, and Less Favorable. See Performance Review sections for greater detail about computation methodology and additional factors.

Scorebook - Quantitative Score - Numerical quantitative rating that is assigned to investment option based on risk-adjusted index performance, peer performance, and consistency. Scale is 1.0 – 4.0 (with 1.0 being the best). See Performance Review sections for greater detail about computation methodology and additional factors.

Scorebook - Quantitative Cautionary Status - If a sub-advised investment option is on the Watch List for quantitative reasons, this will be indicated by WL. If a sub-advised investment option is placed on Probation for quantitative reasons, this will be indicated by PR.

Watch List - Cautionary status of a sub-advised investment option which is meant to communicate an increased level of concern about a particular issue or event.

Probation - Cautionary status of a sub-advised investment option when long-term performance is below expectations and requires additional monitoring.

Glossary of Terms

Information Ratio - The information ratio is a risk-adjusted measure commonly used to evaluate an active manager's investment skill. It is defined as the manager's excess return divided by the variability or standard deviation of the excess return. Information ratio is an excellent tool for evaluating a manager's level of skill because it simultaneously considers both the level of excess return as well as consistency in which the excess return was delivered to investors. Managers should strive for a positive information ratio, with higher numbers representing better results.

Consistency Ratio - A measure of how consistently the manager is able to exhibit positive excess returns. To calculate the consistency ratio, the number of months the manager had positive excess returns is divided by the total number of months. The higher the number, the better.

Up-Market Capture Ratio - A statistical measure of an investment option's performance relative to a comparative index in months in which that index has risen. An up-market capture ratio of greater than 100 would indicate that the investment option performed better than the comparative index during months in which the index had risen over a specified time period.

Down-Market Capture Ratio - A statistical measure of an investment option's performance relative to a comparative index in months in which that index has fallen. A down-market capture ratio of greater than 100 would indicate that the investment option performed worse than the comparative index during months in which the index had fallen over a specified time period.

Morningstar Category - The Morningstar Category identifies investment options based on their actual investment styles as measured by their underlying portfolio holdings (portfolio statistics and compositions over the past three years).

Investment Advisor - May include Registered Investment Advisers as defined in the Advisers Act of 1940, Investment Advisers as defined in the Investment Company Act of 1940, as well as a company employed by the investment option's advisor to handle the investment option's day-to-day management. In these instances, the portfolio manager generally works for the fund's subadvisor, and not the advisor. See definition of Multiple Sub-Advisor appearing else where in this presentation for greater detail about Sub-Advisors.